

PROMISSORY NOTE

Principal amount: \$_____ Date: _____

I, (the undersigned) am/are a resident living at the following address_____. Due to various reasons and uncontrollable events, I have been unable to pay the rent and/or damages that is now past due on the above address. As of this date, I owe the above stated principal amount for which I make the following promise.

For value received, I (the undersigned) hereby jointly and severally promise to pay to the order of _____ the sum of _____ Dollars (\$), together with interest thereon at the rate of _____% per annum on the unpaid balance. Said sum shall be paid in the following manner: Payments will be made monthly/weekly on the following date/day _____ in the amount of _____ until total due is paid in full. This note may be prepaid, at any time, in whole or in part, without penalty.

This note shall be at the option of any holder thereof be immediately due and payable upon the occurrence of any of the following circumstances: 1) Failure to make any payment due hereunder within on or before its due date. 2) Breach of any condition of any security interest, pledge agreement or guarantee granted as collateral security for this note. 3) Upon the death, incapacity, dissolution or liquidation of any of the undersigned, or any cosigner or guarantor. 4) Upon the filing by any of the undersigned of an assignment for the benefit of creditors, bankruptcy or other form of insolvency, or by suffering an involuntary petition in bankruptcy or receivership not vacated within thirty (30) days.

If I, the undersigned, do not fulfill the above promise and default in the payment of the whole or any part of any installment, the entire unpaid balance with interest will become due and payable. If I am still residing in the premises, I/we also promise to immediately vacate the premises and give the Owner of the premises the right to terminate any rental agreement.

In the event this note shall be in default and placed for collection, then the undersigned agree to pay all reasonable attorney fees and costs of collection. Payments not made within five (5) days of due date shall be subject to a late charge of _____% of said payment. All payments hereunder shall be made to such address as may from time to time be designated by any holder.

The undersigned and all other parties to this note, whether as cosigners or guarantors agree to remain fully bound until this note shall be fully paid and waive demand, presentment and protest and all notices hereto and further agree to remain bound notwithstanding any extension, modification, waiver, or other indulgence or discharge or release of any obligor hereunder or exchange, substitution, or release of any collateral granted as security for this note. No modification or indulgence by any holder hereof shall be binding unless in writing; and any indulgence on any one occasion shall not be an indulgence for any other or future occasion. Any modification or change in terms, hereunder granted by any holder hereof, shall be valid and binding upon each of the undersigned, notwithstanding the acknowledgement of any of the undersigned, and each of the undersigned does hereby irrevocably grant to each of the others a power of attorney to enter into any such modification on their behalf. The rights of any holder hereof shall be cumulative and not necessarily successive. This agreement shall be binding upon and inure to the benefit of the parties, their successors, assigns and personal representatives. This note shall take effect as a sealed instrument and shall be construed, governed and enforced in accordance with the laws of the State of _____. Dated this _____ day of _____ 20_____.

Signed _____

Signed _____

Witness _____

Example of Letter to Emergency Contact (Parents)

(On applications, residents gave permission to contact emergency contacts for financial assistance, if needed.)

From: _____

Date: _____

To: _____

Dear _____:

I write to you with regret because I have had so much difficulty trying to resolve the following matter on my own. Perhaps your wisdom and life experience will help resolve your son's/daughter's) failing creditworthiness before it is too late.

I rented an apartment to _____ on _____. As you can see from the attached paperwork, I have had difficulties trying to collect all the rent due during the tenancy. I sought to work with _____ through the financial challenges and even offered a list of churches and community agencies that may have been able to offer assistance. I am not a hard-nosed, non-caring kind of person, who is hard to get along with. My nature is quite the contrary. It was mutually agreed by all of us that I would let the rental agreement be broken so that _____ could move to a less expensive rental. With a promise on my part to work with them to accept payment, I really believed in their honesty. The last thing I wanted to pursue was any legal action or eviction proceedings. Those legal matters do nothing more than cost everybody additional money and take up valuable time in our lives. I come from a family tradition that really believes in working with others if they stick to their promises and continue to make an effort to fulfill their obligations. But it seems that no such efforts were made in this case.

I have attached the most current letter I have been forced to send to _____ because I have not had any response. You were listed on the original application as a reliable reference and emergency contact in case of any financial problems. With your experience in life, you know how devastating a negative credit report can be these days when it gets in the way of a young person trying to get ahead in life. Perhaps a word or two would help resolve this matter before the _____ deadline given on the attached form. I have done all I can to help so far. I will be more than happy to speak with you or you can write me at the address above.

Yours truly,

Rental Owner